

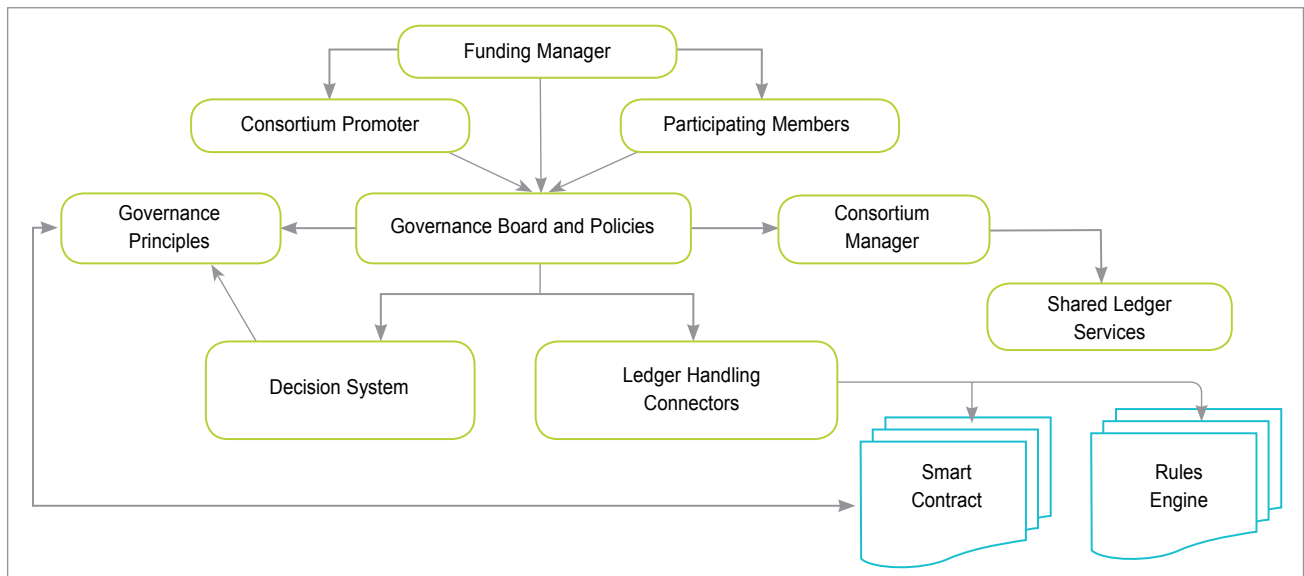


Fig. 2: Blockchain consortium governance

a new height without which the global reach sometimes is out of question.

Lifespan maintenance. Consortium offers a relevant solution or road-map plan. As the technology keeps changing, staying in one field becomes challenging and cumbersome. With consortium, the plans change accordingly and make a business grow in quantum manner.

Influencing standards. Consortia can influence new standards. According to the market, blockchain would soon reach interoperability. With strong influencing, the blockchain industry will become a trillion-dollar industry in the world.

Governance model

Blockchain consortium is widely getting popular since last few years and is being widely preferred as a solution to replace legacy distributed workflow systems like simplified document management systems or semi-manual compliance systems.

Typically, in a blockchain consortium, we have various key entities as shown in Fig. 2 and explained below.

Founding Member forms the governance model and hierarchy of groups to be used in the blockchain platform.

Consortium Promoter forms the administrative activity in implementing the blockchain platform of choice from R3, Hyperledger, B3i, Bankchain, etc, depending on the industrial solu-

tion and use case being addressed.

Participating Members are the actual users of the blockchain platform who handle the transactions and prepare the inter-connection between the nodes in the blockchain platform.

Governance Principles define the principles to be used between public and private blockchain solutions that we want to implement in the architecture.

Governance Board and Policies form the central authority to handle architecture decisions based on the justification from the consortium promoters, participating members, and founding members.

Consortium Manager decides how the rules engine and the smart contract are to be used in the blockchain consortium to address the key transactional requirements.

Decision System helps to choose the responsibility to be handled by different governing bodies in the blockchain consortium units.

Ledger Handling Connectors help to connect to the shared ledger service or cross-platform services when using a combination of public and private blockchain platform.

Rules Engine defines the set of rules to be used for transaction handling and the business logic to be used for satisfying the blockchain execution workflow.

Smart Contract defines the proof-of-work or proof-of-stake consensus

algorithm and how to handle the trust-less entities in the blockchain platform.

Overall, the blockchain consortium governance model is designed in such a way that it helps to define a hybrid blockchain platform that is semi-decentralised to handle the workflow under the supervision of consortium manager, which is a limited group. It works as permissioned ledger for a group of consortium promoters based on the decision system. This makes the consortium to behave as a multi-party consensus platform where every transaction and operation is verified by a special group of pre-approved nodes and every node is not allowed to do this kind of special approval. **EFY**

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